

to maturity. The purchase of the 5% bonds at close to par could only be justified by a confident belief that the company would remain solvent and reasonably prosperous, for otherwise the bonds would undoubtedly suffer a severe drop in market price. But if the investor has confidence in the future of Cudahy, why should he not buy the debenture issue and obtain an enormously greater return on his money? The only answer can be that the investor wants the superior protection of the first mortgage in the event his judgment proves incorrect and the company falls into difficulties. In that case he would probably lose less as the owner of the first-mortgage bonds than through holding the junior issue. Even on this score it should be pointed out that if by any chance Cudahy Packing Company were to suffer the reverses that befell Fisk Rubber Company, the loss in market value of the first-mortgage bonds would be fully as great as those suffered by the debentures; for in April 1932 Fisk Rubber Company First 8s were selling as low as 17 against a price of 12 for the unsecured 5 $\frac{1}{2}$ % Notes. It is clear, at any rate, that the investor who favors the Cudahy first-lien 5s is paying a premium of about 15% per annum (the difference in yield) for only a *partial* insurance against loss. On this basis he is undoubtedly giving up too much for what he gets in return. The conclusion appears inescapable either that he should make no investment in Cudahy bonds or that he should buy the junior issue at its enormously higher yield.¹² This rule may be laid down as applying to the general case where a first-mortgage bond sells at a fixed-value price (e.g., close to par) and junior issues of the same company can be bought to yield a much higher return.¹³

3. *Senior Liens Are to Be Favored, Unless Junior Obligations Offer a Substantial Advantage.* Obviously a junior lien should be preferred only if the advantage in income return is substantial. Where the first-mortgage bond yields only slightly less, it is undoubtedly wise to pay the small insurance premium for protection against unexpected trouble.

Example: This point is illustrated by the relative market prices of Atchison Topeka and Santa Fe Railway Company General (first) 4s and Adjustment (second mortgage) 4s, both of which mature in 1995.

¹² Both of the Cudahy issues were retired at 102 $\frac{1}{2}$ in 1935.

¹³ Exceptions to this rule may be justified in rare cases where the senior security has an unusually preferred status—e.g., a very strongly entrenched underlying railroad bond. (Chap. 6)